

The Signaling Reserve v2.10

Why the United States' SPR exchange has functioned as active price suppression rather than supply remedy — and the contested deadline on which both the buffer and the diplomacy now run.

A FORENSIC RECONSTRUCTION · V1-V2.9 27 MAY-30 JUL · V2.10 7 AUG 2026 · DATA THROUGH 31 JUL (SPR) / 6 AUG (BRENT, DUBAI, TECITY BBG; THE 7 AUG BRENT PRINT IS ~\$83.6) · STATUS: DEAL-SHAPED, NOT DEAL-DONE – TRUMP CALLED OFF A PLANNED MASS STRIKE (1 AUG) AND ANNOUNCED TALKS (3 AUG) HE CALLED IRAN'S "LAST CHANCE"; TEHRAN DENIES ANY DIRECT US NEGOTIATION AND SAYS ITS ONLY LIVE TRACK IS BILATERAL WITH OMAN. A 60-DAY IRAN-OMAN LANE ARRANGEMENT IS ALL BUT AGREED, BUT IRAN'S OWN PUBLISHED DRAFT (6 AUG) WOULD BAR US, ISRAELI AND OTHER "HOSTILE" SHIPS UNTIL TEHRAN IS COMPENSATED FOR WAR DAMAGE, LEVY FEES OF UP TO 7% OF CARGO VALUE ON EVERYONE ELSE, AND FINE VIOLATORS 20% – TERMS WASHINGTON FLATLY REJECTS. BRENT FELL ~8% TO ~\$79 (4-5 AUG), THEN REBOUNDED TO \$82.49 (6 AUG) AND ~\$83.6 (7 AUG). THE BRENT BASIS FLIPPED OUT OF BACKWARDATION INTO **+\$2.0 CONTANGO** – THE PROMPT PREMIUM IS GONE. THE SPR DREW -2.8 MB TO **304.8 MB** (~22 MB CONTRACTED LEFT) – THE BUFFER DRAINS ON REGARDLESS.

WHAT CHANGED IN V2.10 (7 AUG) — THE PREMIUM DRAINS OUT

Per instruction, only the latest delta is kept; full history remains in the earlier files. The war did not end this week – the market simply stopped pricing it. (i) *The strike was called off; talks were announced; Iran denied them.* Trump decided on 1 Aug not to execute a planned mass bombing campaign – he said a plan was in place for “the biggest attack since World War II” – at the urging of Saudi, Qatari and Emirati leaders and, he said, unnamed Iranian officials; on 3 Aug he announced talks and called them Iran's “last chance.” Tehran denied any direct US negotiation: Araghchi, Baghaei and Gharibabadi each said the only live track is bilateral with Oman (verified: Washington Post, ABC/AP, NPR, RFE-RL, France 24, The National). (ii) *The prompt premium collapsed – the curve flipped into contango.* Brent fell ~8% through 4–5 Aug to ~\$79 after Treasury Secretary Bessent said a Hormuz deal with freedom of movement could come “as soon as Wednesday,” then rebounded to **\$82.49 (6 Aug)** and ~\$83.6 (7 Aug) when Iran's Fars agency published a restrictive draft transit plan. On the Tecity feed the Brent basis flipped from -\$2.15 backwardation (30 Jul) to **+\$2.03 contango (6 Aug)** – the first contango since early June – while Dubai's contango widened to +\$4.6. Prompt scarcity is no longer being priced. (iii) *The reopening is being negotiated as a managed regime, not free passage.* The emerging 60-day Iran–Oman arrangement routes inbound traffic up a northern *Iranian* lane and outbound down a southern *Omani* lane, toll-free for 60 days, with the mined median lane to be cleared within 30 days – almost exactly the “dual-key” structure Adm. James Stavridis (Vice Chair, Global Affairs, Carlyle; former NATO Supreme Allied Commander) put at ~60% likelihood on 4 Aug. Iran's own 6 Aug draft, under review by a parliamentary committee, goes further: bar ships linked to the US, Israel and other “hostile countries” until Tehran is compensated for war damage; levy fees of **up to 7% of cargo value** on commercial vessels that do transit; and fine violators **20% of cargo**. Washington rejects that characterisation outright – a US official told NPR that any temporary routes will carry “no approvals or permissions and no tolls or charges,” because “the Strait of Hormuz is an international waterway and no party controls the lanes” – while Trump said the US currently controls the strait through its naval blockade. This is the paper's *optical* branch arriving in the text itself: the two sides are not negotiating whether the strait reopens but who administers it. Iran's own deputy foreign minister said as much – the arrangement “does not mean full reopening,” runs two-to-four months rather than a clean 60 days, needs a separate decision by the leadership, and shifts corridors into Iranian waters after decades of routing through Omani waters. (iv) *The buffer keeps draining.* The SPR drew another -2.8 mb to **304.8 mb (31 Jul)** – ~111 mb gone since late Feb, ~22 mb of contracted barrels left, ~105 mb above the ~200 mb Tecity floor. (v) *Revisions.* The 30 Jul week settled below the preliminary print v2.9 carried: Brent \$87.6 → **\$86.9**, the basis -\$2.46 → -\$2.15, Dubai +\$5.32 → +\$3.03; Figures 3 and 4 are corrected accordingly. Gasoline (BBG US average) eased to ~\$4.74 (5 Aug).

ABSTRACT

In March 2026 the U.S. authorized a 172-million-barrel release from the Strategic Petroleum Reserve, structured as an *exchange* (loan-with-premium) rather than a sale, as its share of a coordinated 400-million-barrel IEA action against the Strait of Hormuz disruption. This paper reconstructs, from the EIA weekly inventory series, market spreads, and intraday tape, the gap between the program's *announced* parameters (172 mb; ~1.43 mb/day) and its *realized* execution (~84 mb delivered through 19 Jun; ~0.9 mb/day overall, peaking near ~1.30–1.43 mb/day, easing, then running back to ~1.28 in the week to 12 Jun). The release is shown to be physically incapable of clearing a 9–13 mb/day net Hormuz shortfall on its own. Its observable function, refined in v2, is **active suppression**: simultaneously pressing the prompt physical market (SPR barrels into spot) and the forward curve (announcement effect), aided by suppressed Chinese imports — three downward pressures on a market that would otherwise reveal the deficit. The compression is dated: remaining contracted SPR deliveries exhaust in late July / first week August at recent draw rates, which is also when independent analysts forecast Chinese demand to resume. The diplomatic resolution that would prevent reconciliation through dislocation has *not* arrived; a 60-day framework (ceasefire extension, Hormuz reopening, mine-clearing) has been tabled, sent back in early June over the maritime-control point, and then collapsed into renewed U.S.–Iran strikes by 9–11 June, with Iran re-declaring the strait closed (disputed by U.S. Central Command) while the futures curve flipped into backwardation across every grade (Dubai deepest, ~–\$5) even as front-month Brent eased to ~\$91 at settlement — the tightness showing in curve structure before price level. Then, on 11 June, the pendulum swung back: the President cancelled planned strikes and announced a "great settlement," a memorandum he himself called "a little conceptual." It resolved quickly: an interim MOU was declared complete ~14–15 June and signed electronically ~17 June at the G7 sidelines (the 19 June Switzerland technical round was then postponed, with a "roadmap" toward a final deal reached 21–22 June) — reopening Hormuz, lifting the blockades, granting Iran ~\$300bn and sanctions relief while deferring the nuclear file to a 60-day window. Brent collapsed ~14% on the week to ~\$79 (–38% from the April peak), the whole curve repricing toward ~\$80. The reopening is gradual — hundreds of ships stranded, mines to clear, 30 days to

prewar traffic — so this is the optical branch the paper flagged, not a clean soft resolution; and the SPR draw *held near its peak* into the de-escalation — the first post-deal print (week ending 19 June, released 24 June) came in at **−9.1 mb to 331.2 mb, the SPR's lowest since 1983**, even with the deal signed; the draw then tapered (−5.5, −6.2, −3.0 mb) to **316.5 mb by 10 July — the lowest since April 1983**. But in that same fortnight the interim deal collapsed: the US revoked Iran's oil authorisation, struck Iran (8 and 12–14 July) and reinstated its naval blockade, Iran re-closed Hormuz, and **front-month Brent snapped back to ~\$83 (intraday high ~\$86, ~+19% above pre-war)** as transits fell >50%. The war has since *widened* — nine consecutive nights of US strikes, US troops killed in Iran's attack on a base in Jordan, and a Houthi maritime embargo on Saudi Arabia opening a new front — and **Brent spiked to a ~\$94 peak (23 Jul, the highest since 2022) before a late-July strikes pause pulled it back to ~\$87** as the SPR drained past 307.6 mb. In the first week of August the premium drained out altogether: Trump called off a planned mass strike (1 Aug), announced talks (3 Aug), and a 60-day Iran-Oman lane arrangement took shape — Brent fell ~8% to ~\$79 before Iran's own restrictive draft transit plan (6 Aug) pushed it back to **\$82.49**, and the Brent basis flipped out of backwardation into **+\$2.03 contango**, the first since early June. The SPR meanwhile drew to **304.8 mb (31 Jul), ~22 mb of contracted barrels left**. With the buffer near its floor, the suppression can no longer hold the price down in either direction: what now moves crude is the diplomacy, and the paper's core claim — that the signal and the supply are spent in the same act — stands. The reconciliation the paper mapped is arriving not as a spike but as its mirror image: a market that has stopped paying for prompt barrels while the strait is still shut and the reserve is nearly empty. The crude reconciliation, the SPR contracted exhaustion, and the contested ceasefire window still converge on the same six-to-eight-week period — a configuration the paper terms the **contested deadline** — but the dislocation has begun arriving early, via diplomatic breakdown rather than buffer exhaustion.

01 Summary

THE ARGUMENT IN ONE SCREEN – V2.10

A strategic reserve is a **stock**; a supply crisis is a problem of **flow**. The 2026 SPR release cannot resolve the deficit at any plausible delivery rate; what it can do is buy time by pressing both ends of the futures curve down at once. v2 evidences this directly.

(i) The headline is a ceiling, not a delivery. Of 172 mb authorized, ~133 mb contracted across four tenders, ~84 mb physically delivered through 19 Jun. Realized lift averaged ~0.9 mb/day overall; the late-May weeks reached the advertised ~1.30-1.43 mb/day pace, eased, then the week to 12 Jun ran back up to ~1.28.

(ii) The drawdown ran at peak rate, briefly eased, then re-accelerated. Weekly draws of -8.6, -9.9, -9.1, -8.0, -7.9, then **-8.9 mb** (12 Jun), **-9.1 mb** (19 Jun), -5.5 mb (26 Jun), -6.2 mb (3 Jul) -3.0 mb (10 Jul) -5.1 mb (17 Jul), -3.8 mb (24 Jul) and **-2.8 mb** (31 Jul) to **304.8 mb — a deepening 43-year low**, ~111 mb drawn since the war began. The dip to ~8 mb (late May/early June) looked like a benign taper; the week to 12 Jun put that to rest, re-accelerating as the war premium collapsed and the deal came together. DOE drawing *faster* as the crisis resolves is the opposite of a supply remedy winding down — it reads as pressing the price down or rushing to finish deliveries. The draw continued through the late-July pause and into the August talks; with the buffer near its floor (~22 mb contracted left) the suppression is no longer what sets the price — Brent round-tripped ~\$94 → ~\$82 → ~\$87, then fell to ~\$79 (5 Aug) and settled \$82.49 (6 Aug) on the diplomacy alone.

(iii) Deep contango, then a June backwardation flip across every grade. On the Bloomberg futures basis (front-month minus spot), the grades nearest Hormuz showed the prompt crushed *below* the future through late May — Dubai front-month \$11-16 above spot, outright contango — the mask of a deficit held down by SPR supply and absent Chinese demand. From 4 June the curve flips the other way, into backwardation across all four grades: Dubai deepest (front ~\$5 below spot, 4-10 Jun), Brent and Oman milder (~-\$1.5 to -\$2.5) and easing into 11 June. A prompt premium is the tightness signature the hard branch predicts — now measured in the corrected feed, not inferred. Through 11 June the dislocation showed in curve structure ahead of price level. Then the deal resolved it the other way: with the agreement signed, the *level* collapsed — front-month Brent ~-14% on the week to ~\$79, the whole curve to ~\$80 (Figure 4) — the clean Brent front-month-minus-spot flipped into **backwardation peaking at -\$6.4 (23 Jul), eased to -\$2.15 (30 Jul) as strikes paused, and then flipped back into contango at +\$2.03 (6 Aug)** — the first contango since early June, and the cleanest single sign that the market has stopped pricing prompt scarcity. Dubai's contango widened over the same week from +\$3.03 to +\$4.64. The outright level round-tripped from ~\$71 (2 Jul) to a **~\$94 peak (23 Jul, highest since 2022)**, to ~\$82 (28 Jul), ~\$87 (30 Jul), ~\$79 (5 Aug) and \$82.49 (6 Aug) / ~\$83.6 (7 Aug). Note the asymmetry the paper has flagged throughout: the strait is still shut and the reserve is nearly empty, yet the curve now prices comfort. That is a positioning fact, not a physical one.

(iv) The contested deadline resolved — by a deal, not by exhaustion. The 60-day MOU (19 Jun) collapsed into war, now in a fragile pause. After the 31 Jul print ~22 mb of contracted SPR remains (~111 mb lifted) — roughly six weeks at the recent ~3-4 mb/week

pace — a near-empty backstop even as the talks resume: neither the pause nor the August diplomacy has refilled the reserve or reopened the strait. So the diplomatic clock stopped first. What remains live is the *physical* reopening clock — 30 days to prewar Hormuz traffic, mines to clear, ~600 ships to move — and the buffer clock as a backstop if that reopening stalls.

(v) Retail products are a separate, structural clock — now feeding the macro. US average gasoline (BBG) eased only marginally to ~\$4.74 by 5 Aug from ~\$4.76 at end-July (still below the \$5.47 all-time high) — the crude round-trip has not reached the pump, atop the structural refining picture (seven closures since 2019, ~92% utilization, lowest finished-fuel inventories since 2000). Even so, energy-led U.S. inflation had pushed above 4% during the war — and the structural refining deficit means a clean crude resolution still does not deliver full retail relief; products remain the slow, separate clock.

NEW IN V2 · SUPPRESSION

The SPR exchange is not failing to be a supply remedy by accident — it was never structured to be one. Its function is **active price suppression**: pressing the prompt market down with finite physical barrels and the forward curve down with announcement effects, in service of buying time for diplomacy. The barrels and the signal are spent in the same act. When the barrels run out, the signal dies with them.

The contested deadline has now resolved — by a signed deal (19 Jun), ahead of the buffer. But the resolution is optical in shape: a 14-point MOU that reopens Hormuz on paper, hands Iran ~\$300bn and sanctions relief, and defers the nuclear file 60 days. The clocks did not all stop. The U.S. supply-buffer clock keeps ticking (SPR drawn to 304.8 mb — a deepening 43-year low — ~22 mb of contracted barrels left, still drawing ~3 mb/week through the pause and the talks) and the Iranian revenue/blockade clock (export losses every day Hormuz stays shut) — which the deal is meant to stop. The market that spent late May pricing the soft outcome got it on 14–19 June and ran with it: Brent –14% on the week, the whole curve to ~\$80. The scoreboard turned toward resolution. The catch the paper has flagged from the start is that a signed, conceptual MOU is not the same as oil moving freely through Hormuz — and the deal has now collapsed with the buffer nearly spent: the US struck Iran again (8 & 12–14 Jul), reinstated its naval blockade and Iran re-closed the strait, so the suppression can no longer cap the price — Brent round-tripped to a ~\$94 peak, dipped to ~\$82 on the pause, and sits ~\$83 as a second, narrower arrangement is negotiated. The August draft is the same catch in sharper form: a lane scheme that reopens Hormuz on paper under Iranian and Omani management, with Iran's own text barring US and Israeli ships and fining violators 20% of cargo value, is not oil moving freely.

02 Thought Process

HOW THE QUESTION UNFOLDED – EXTENDED IN V2

Stage 1 — The accounting question

Was the exchanged oil still booked as SPR inventory while physically gone? Directionally the instinct was right (an exchange retains a government claim recorded as a receivable), but the suspicion landed in the wrong ledger. The EIA series is physical and draws down on lifting.

Stage 2 — The execution forensics

Reading the four tenders against the weekly inventory series revealed the awarded-versus-delivered gap and the realized lift rate — roughly half the advertised pace for most of the program, only reaching the plan in its latest weeks. The advertised "1.43 mb/day" was real *as a plan*; delivery only approached it as the program matured.

Stage 3 — The scale test

Setting realized lift against the net Hormuz shortfall (~9-13 mb/day) showed the release covers a fraction of the gap for a limited duration. A physical remedy it is not.

Stage 4 — The mechanism & the clock

If not supply, then signal: the program suppresses the forward curve and buys time. That reframes "when does it end?" as "when are the physical and expectations markets forced to reconcile?" — a question answered by the prompt-versus-deferred spread.

Stage 5 (new in v2) — The suppression mechanism, visible

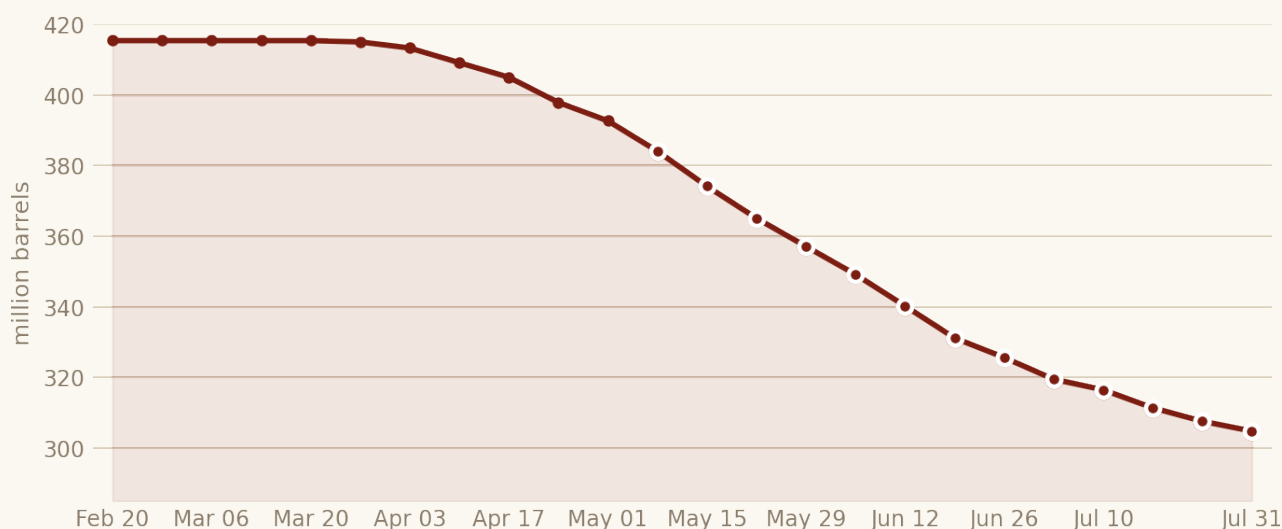
The late-May spread data and the SPR prints together force the v2 conclusion. The Gulf-grade curve did not behave as v1's "convergence" framing predicted — through late May the prompt was pressed *below* the future (Dubai front-month \$11-16 over spot), outright contango, while DOE drew at the design ceiling: *both* spot and futures pressed down at once — SPR barrels into the prompt market, forward-curve guidance for the paper market, suppressed Chinese demand removing global pull. The contested deadline has now settled that question the other way. The early-June backwardation flip was not a managed hand-off to a real deal; within days the framework was sent back, the talks collapsed, and the war resumed — and the futures curve flipped into backwardation across every grade, the prompt premium the suppression had masked finally surfacing (Dubai ~-\$5). Tellingly, outright Brent only eased to ~\$91 over the same days: the dislocation is emerging in *curve structure* first, while the still-substantial buffer caps the level. The calm was bought; when the diplomacy the barrels were buying time for failed to arrive, the suppression began to give way to the tightness it had deferred — surfacing in the structure, via diplomatic breakdown ahead of, not because of, the buffer running dry. The resolution then arrived the way the paper had marked most likely and most under-priced: not a clean soft settlement but an interim, optical one — a signed MOU that reopens Hormuz on paper, pays Iran, and defers the nuclear file — on which the market nonetheless priced a full resolution, collapsing crude ~14% on the week to ~\$79. And in the final irony for the supply-remedy story, DOE did not ease into the de-escalation; it drew *faster* (-8.9 mb) as the war premium came out — which the post-deal print (19 Jun) has now answered: it held at peak, -9.1 mb to 331.2 mb.

Stage 6 (new in v2) — The contested deadline

If the suppression is active and finite, then its duration is the strategic variable. Both negotiating parties can compute the buffer-exhaustion date from public data. Iran's incentive is to delay any concession until that date approaches and U.S. leverage decays; the U.S. incentive (per Trump's "we'll out-wait him") is to deny that any concession is forthcoming on Iran's clock. The leaked-but-mutually-disowned MOU was sized to 60 days — almost exactly the remaining contracted SPR delivery window. The market structure and the diplomatic structure are now visibly synchronized to the same date.

FIGURE 1 • EIA WCSSTUS1 / DOESSPR – UPDATED THROUGH 31 JUL

SPR physical inventory — a deepening 43-year low; the buffer drains on through the pause and the talks



Source: EIA weekly series, thousand barrels. Inventory flat at ~415.4 mb for a month after the 13 Mar announcement, then accelerating through April–May to three consecutive record draws (May 8, 15, 22), easing to ~8 mb (29 May–5 Jun), then re-accelerating to ~8.9 mb (12 Jun) and **–9.1 mb in the week to 19 Jun (331.2 mb – the SPR's lowest since 1983)**, then easing to ~5.5 mb (26 Jun), ~6.2 mb to **319.5 mb (3 Jul)** and ~3.0 mb to **316.5 mb (10 Jul)** – the lowest since April 1983. The draw tapered even as the interim deal collapsed and the war reignited, then drew a further ~5.1 mb to 311.4 mb (17 Jul), ~3.8 mb to 307.6 mb (24 Jul) and ~2.8 mb to **304.8 mb (31 Jul)** – ~111 mb drawn since late Feb, ~22 mb of contracted barrels left (~105 mb above the ~200 mb Tecity floor). The draw continues through the late-July strikes pause and into the August talks – the terminal configuration the paper mapped. Note what the first week of August establishes: with the reserve nearly spent, the price fell anyway – ~8% to ~\$79 (5 Aug) before settling \$82.49 (6 Aug) – because diplomacy, not barrels, is now doing the work (Figure 4). The suppression thesis is not refuted by that fall; it is completed by it. The barrels bought time until the talks arrived, and then ran out.

The weekly drawdown ledger — accelerating

WEEK ENDING	STOCK (MB)	Δ WEEK (MB)	IMPLIED MB/DAY
Feb 20 – Mar 20	415.44	~0.00	~0.0
Mar 27	415.06	-0.38	0.05
Apr 03	413.33	-1.74	0.25
Apr 10	409.18	-4.14	0.59
Apr 17	405.05	-4.14	0.59
Apr 24	397.92	-7.12	1.02
May 01	392.70	-5.22	0.75
May 08	384.10	-8.61	1.23
May 15	374.18	-9.92	1.42
May 22	365.11	-9.06	1.30
May 29	357.12	-7.99	1.14
Jun 05	349.19	-7.93	1.13
Jun 12 (v2.4)	340.25	-8.94	1.28
Jun 19 (v2.5)	331.19	-9.06	1.29
Jun 26 (v2.6)	325.66	-5.53	0.79
Jul 03	319.50	-6.16	0.88
Jul 10	316.50	-3.00	0.43
Jul 17	311.40	-5.10	0.73
Jul 24	307.60	-3.80	0.54
Jul 31 (v2.10)	304.81	-2.84	0.41

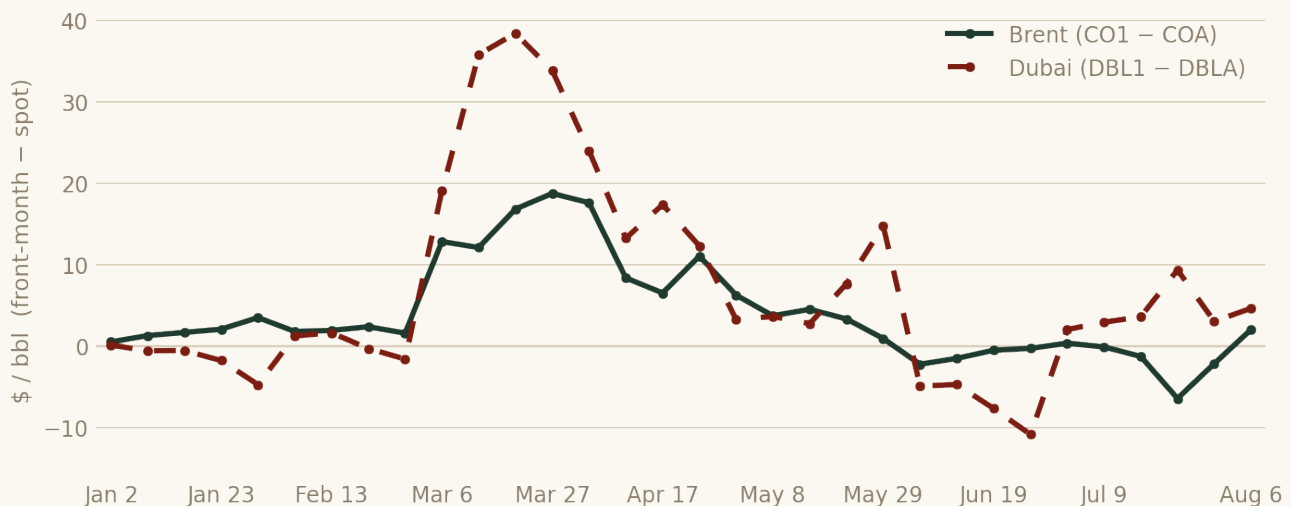
The highlighted rows are the v2 evidence and the v2.4 reversal. The three middle weeks ran at the design ceiling even as crude and the forward curve declined — DOE spending barrels at peak rate *to maintain* the easing. The late-May/early-June prints eased to ~8 mb, which v2.3 read as a benign-leaning taper. **v2.4 retracts that lean:** the week to 12 Jun re-accelerated to -8.9 mb — as the war premium collapsed and the deal came together. A supply remedy slows when the emergency passes; this sped up. The cleanest read is that DOE was pressing barrels into a falling market (amplifying the de-escalation) or rushing to complete the remaining ~49 mb before wind-down — either way, active drawdown, not a passive taper. §06's distinguishing test has now run: the week ending 19 Jun printed **-9.1**

mb to 331.2 mb (the SPR's lowest since 1983) — the draw *held near its peak rate* even with the deal signed and Hormuz nominally reopening. The draw then tapered — −5.5 mb (26 Jun), −6.2 mb (3 Jul), −3.0 mb (10 Jul), −5.1 mb (17 Jul) — to 311.4 mb, a deepening 43-year low. But the SPR-draw test has been overtaken by events: in the same fortnight the interim deal collapsed and the war reignited (US strikes 8 & 12–14 Jul, naval blockade reinstated, Hormuz re-closed). With the buffer near its floor (~22 mb of contracted barrels left after the 31 Jul print) the suppression can no longer cap the price: Brent snapped back to ~\$83 (16 Jul), spiked to a ~\$94 peak (23 Jul), then pulled back to ~\$87 on the late-July strikes pause and to ~\$79–83 in the first week of August as the talks resumed (Figure 4). The 31 Jul print (−2.8 mb to 304.81 mb) is the smallest weekly draw since the program reached scale — consistent with a reserve running out of contracted barrels rather than a policy decision to stop. Whether the taper reflected a wind-down or simply an exhausted reserve, the practical result is the same: the deferred tightness surfaced through the snap-back channel the paper flagged, and the price is now set by diplomacy rather than by DOE.

The prompt-physical spread — compressed past convergence

FIGURE 3 · FRONT-MONTH MINUS SPOT (BLOOMBERG FUTURES BASIS)

From pre-war calm, to war-onset contango blowout, to a June flip, a July prompt premium — and an August flip back to contango



Weekly series on the Bloomberg futures basis, **front-month minus spot** (CO1-COA, DBL1-DBLA): *positive* = *contango* (prompt below the future), *negative* = *backwardation* (prompt premium). Pre-war (Jan-Feb) the spreads sit near zero – a normal market. From the late-Feb war onset the Gulf-proximate Dubai grade blows out into extreme contango, front-month peaking ~\$38 above spot in mid-March – the prompt crushed far below the future even as a supply crisis was supposedly raging, the central anomaly the suppression thesis explains. The contango compresses through April-May; then in June the curve **flips into backwardation across every grade** – Dubai deepest (front-month ~\$5 below spot, 4–10 Jun), Brent and Oman milder (~\$1.5 to ~\$2.5) and easing into 11 Jun. A prompt premium is the tightness signature the hard branch predicts, now measured rather than inferred – though front-month Brent itself eased to ~\$91 at settlement over the same days, so the dislocation showed in *curve structure* before *price level*. On the Tecity Bloomberg feed (pull 7 Aug) the Brent front-month-minus-spot is clean through 6 Aug: it flipped into backwardation and **peaked at ~\$6.4/bbl on 23 Jul**, eased to ~\$2.15 by 30 Jul as strikes paused (revised from the ~\$2.46 preliminary print carried in v2.9), and then **flipped back into contango at +\$2.03 on 6 Aug** – the first positive Brent basis since early June, and the single cleanest marker of the August repricing. The Dubai grade had deepened to an acute **-\$11/bbl prompt premium on 23 Jun** (from ~\$5 in early June) before an end-June Mini-Dubai contract roll swapped front and spot (a spurious +\$13 print on 26 Jun); on the corrected feed the post-roll Dubai contango **peaked near +\$9 on 23 Jul, eased to +\$3.03 by 30 Jul and widened again to +\$4.64 by 6 Aug** (plausibly stranded Gulf cargoes under the blockade depressing prompt spot), economically distinct from Brent's basis – so the Dubai line is plotted through 6 Aug (only the spurious +\$13 roll print on 26 Jun excluded; 7 Aug Dubai had not printed at the time of the pull). Through late July the widening two-basin split – Brent backwardation (global tightness) against Dubai contango (stranded Gulf cargoes) – was itself the signal that the strait had not physically reopened. As of 6 Aug that split has closed the wrong way: **both** basins now sit in contango while transits remain in the low single digits. The two-basin divergence has stopped being the tell; the tell now is that neither basin is pricing scarcity in a strait that is still shut. (Dubai/Oman print front=spot on 1–3 Jun, a three-day roll artifact, omitted.)

The deep Gulf-grade contango is the cleanest single piece of evidence in the paper. A genuine 9–13 mb/day net Hormuz deficit cannot coexist with the grades nearest Hormuz trading \$11–16 *below* their own front-month. The only way both are true at once is if the prompt is being masked by active physical supply (SPR barrels reaching the spot window) and absent demand (China) — both dated, both finite. On the Bloomberg basis the effect is larger than the prior Dated read showed. The early-June unwind toward backwardation, occurring as the whole complex falls rather than rises, is consistent with the suppression being relaxed into a market pricing de-escalation — not with a deficit reasserting. That distinction is the soft-vs-hard fork, and it turns on whether a deal actually signs.

The war-premium round-trip

The clearest picture of the whole episode is the outright front-month itself. Brent began the year in the low-\$60s on an oversupplied, pre-war market; the 28 February war and the Hormuz closure drove it to a ~\$112 front-month peak (Dated Brent spiked far higher); the SPR release, suppressed Chinese demand, and recurring deal-hope then ground it back down through the spring; the 14-19 June agreement collapsed the remaining premium, returning Brent to ~\$79 by mid-June; but the deal itself then broke down in early July — US strikes, the naval blockade reinstated, Hormuz re-closed — and the premium snapped back and then surged — Brent to ~\$83 (16 July) and a ~\$94 peak (23 July, the highest since 2022) as the war widened — before a late-July strikes pause knocked it to ~\$82 (28 July); it settled ~\$87 (30 July). Then, in the first week of August, the premium drained out: Trump called off a planned mass strike (1 Aug) and announced talks (3 Aug), Treasury Secretary Bessent floated a Hormuz deal “as soon as Wednesday,” and Brent fell ~8% to ~\$79 (5 Aug) — before Iran's own restrictive draft transit plan pushed it back up 3.8% to \$82.49 (6 Aug) and ~\$83.6 (7 Aug).

FIGURE 4 · ICE BRENT FRONT-MONTH (C01)

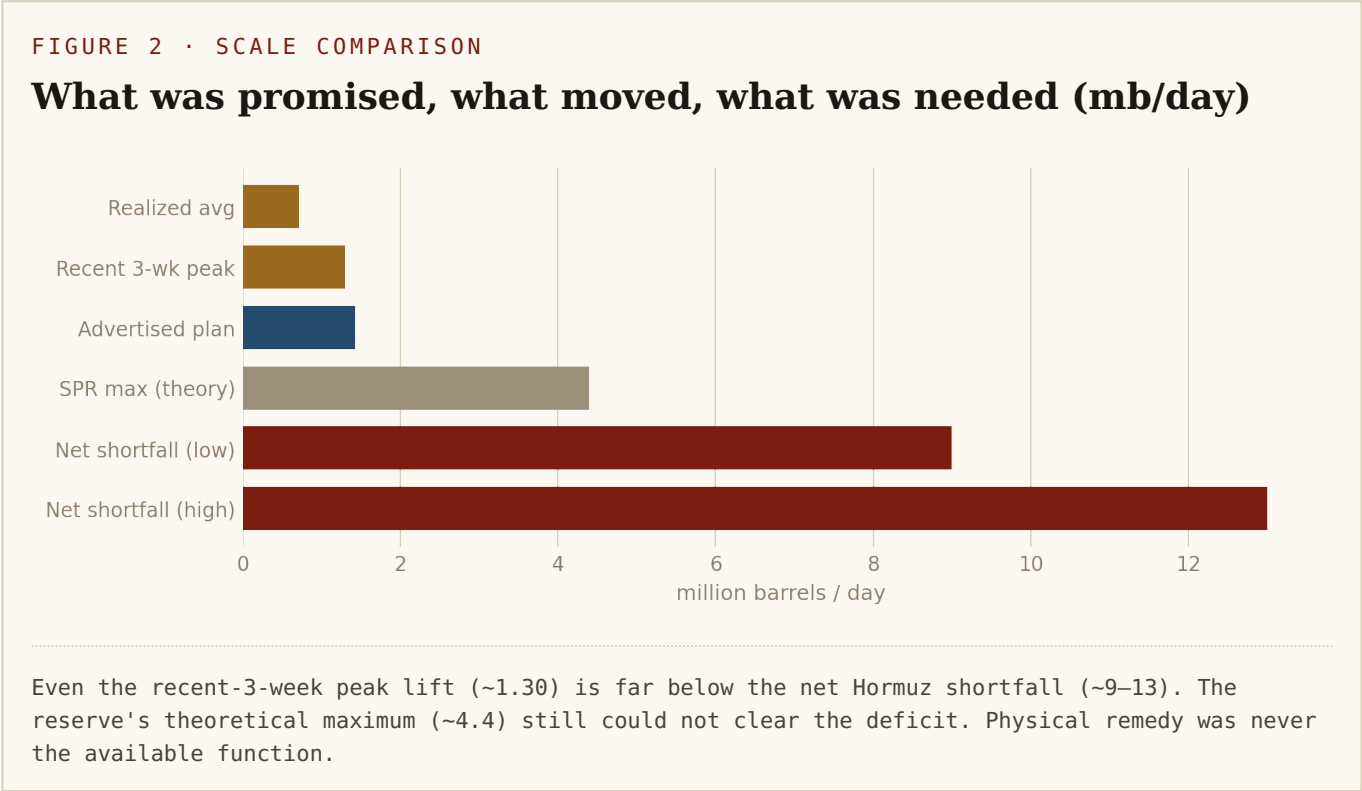
The war premium: round-trip to ~\$79, snap-back, a ~\$94 peak — and an August drain-out to the low \$80s



Weekly front-month Brent close (Bloomberg C01/COA), Jan–6 Aug 2026. Pre-war calm in the low-\$60s; the late-Feb war and Hormuz closure spike the front-month above \$110 (physical Dated Brent traded higher still); a volatile spring plateau in the \$90s–\$100s as SPR barrels, absent Chinese demand, and repeated deal-hope cap the rally; then a ~\$33 collapse to ~\$79 by mid-June on the interim deal — before the deal broke down in early July (US strikes, blockade reinstated, Hormuz re-closed) and the premium snapped back to ~\$83 (16 Jul), then **spiked to a ~\$94 peak (23 Jul, the highest since 2022)** as the war widened (nine nights of US strikes, US troops killed, a Houthi embargo on Saudi Arabia), before a late-July strikes pause knocked it to ~\$82 (28 Jul) and it settled ~\$87 (30 Jul, revised down from the ~\$88 preliminary print). The first week of August then drained the premium out on diplomacy alone: the called-off strike and announced talks took Brent ~8% lower to ~\$79 (5 Aug), and Iran's restrictive draft transit plan bounced it to \$82.49 (6 Aug) / ~\$83.6 (7 Aug). The war premium round-tripped, rebuilt past the deal, and now swings on fragile diplomacy — in both directions, and within a single week.

On 28 May, WTI front-month and Brent front-month rallied in lockstep on truce headlines to +4%, then faded together as the framework was disowned. The two benchmarks moved as one across the session — the signature of a market pricing a single global signal (the diplomatic clock) rather than independent fundamentals. The fade pattern repeats the cycle observed since March: rally on resolution-hope, fade as substance fails to arrive. Each cycle consumes barrels and credibility.

Announced vs. realized vs. the deficit



Analyst voices — the consensus that emerged independently

JOE DELAURA • RABOBANK • 28 MAY

"The oil market is very complacent right now... By mid-July — if China starts importing again when the SPR releases end — we are in the hockey-stick-upward inflection point for so many refined products."

STANDARD CHARTERED RESEARCH • VIA OILPRICE / DISCOVERY ALERT

Identifies four price-suppression mechanisms each with an expiry timeline; warns futures will be "pulled up toward elevated physical benchmarks" unless a deal is struck. Confirms the record consecutive weekly SPR draws.

CHRIS WESTON • PEPPERSTONE GROUP • 28 MAY

"Markets are pricing in the prospect of a deal through a strong glass-half-full mindset; the scope for the parties walking away from the negotiating table remains a clear risk."

TRACY SHUCHART • RENEGADE RESOURCES • 10 MARCH

"300 to 400 million barrels is a number designed to move headlines for 48 hours; it is not a number designed to move molecules to where they are needed." (Published the day before the program launched; thesis subsequently validated by every metric in this paper.)

04 Verification

EVERY CLAIM, CHECKED AGAINST THE RECORD

- ✓ **EIA series is physical, not receivable.** Confirmed via 2011 precedent and series definition. The ~84 mb cumulative drawdown (through 19 Jun) is real barrels gone.

VERIFIED – PRIMARY SOURCE

- ✓ **Four tenders; ~133 mb awarded of 172 mb; ~84 mb delivered through 19 Jun.** Awarded total: 45.2 + 8.5 + 26 + 53.3 mb. Delivered confirmed against EIA weekly prints.

VERIFIED – DOE + EIA

- ✓ **Record draws May 8-22, brief ease, then re-acceleration through 19 Jun.** -8.6, -9.9, -9.1, -8.0, -7.9, -8.9 (12 Jun), then -9.1 mb to 331.2 mb (week ending 19 Jun). The early-June ease (~8 mb) reversed and the draw held at peak right through the signing. Cumulative ~84 mb of ~133 contracted.

VERIFIED – EIA

- ✓ **Gulf-grade deep contango → June backwardation flip across all grades.** Dubai front-month \$11-16 above spot 26-29 May (contango); from 4 Jun the curve flips into backwardation — Dubai deepest (~-\$5, 4-10 Jun), Brent/Oman ~-\$1.5 to -\$2.5, easing into 11 Jun. Prompt premium is the hard-branch tightness signal; outright Brent nonetheless eased to ~\$91, so the signal is in structure first. (Dubai/Oman 1-3 Jun front=spot is a 3-day roll artifact, omitted.)

VERIFIED – BLOOMBERG, THROUGH 11 JUN

- ✓ **Hockey-stick / mid-July inflection thesis.** Independently published by DeLaura (Rabobank, Bloomberg interview 28 May), Weston (Pepperstone), and the StanChart "four mechanisms" framework. Convergent across desks.

VERIFIED – MULTI-SOURCE CONSENSUS

- ✓ **Structural US refining tightness.** EIA forecast (Feb 2025, pre-war) projected 2026 fuel inventories to lowest since 2000; seven major closures since 2019 removed >1.2 mb/day capacity; utilization ~92%; late-May retail \$4.99-5.61 regionally on outages.

VERIFIED – EIA PRIMARY

- ✓ **MOU framework: collapse, then a sudden deal announcement.** The draft was sent back ~1 Jun over maritime control and nuclear timing; talks broke into renewed strikes (9–10 Jun). Then on 11 Jun the President reversed — cancelling strikes and announcing a "great settlement," a "conceptual" MOU to be signed in Europe within days, claiming Iran's leadership approved it and the strait would reopen on signing. But Iran did not confirm; Israeli and Iranian officials said it is not complete; Israel is not a party. It then signed: an interim 14-point MOU declared "complete" ~14–15 Jun and signed electronically ~17 Jun at the G7 sidelines (the 19 Jun Switzerland round was postponed; a roadmap followed 21–22 Jun) — reopens Hormuz, lifts the dueling blockades, ~\$300bn to Iran, sanctions-relief path, nuclear file deferred to a 60-day window. The optical branch realized: a headline reopening whose physical substance (mine-clearing, ~600 stranded ships, 30-day timeline) is still unfolding.

DEAL SIGNED — NPR / ABC / ENERGYCONNECTS; PHYSICAL REOPENING IN PROGRESS

- ≈ **Active-suppression intent (vs. passive easing).** The peak-rate draw alongside deep Gulf-grade contango through late May is the smoking-gun pattern. v2.3 had read the early-June ease as benign-leaning; **v2.4 reverses that:** the draw re-accelerated to –8.9 mb the week the war premium collapsed and the deal landed — DOE drawing *faster* as the emergency resolves, the opposite of a passive remedy. That is consistent with pressing the price down or rushing to finish deliveries. The draw tapered (–5.5, –6.2, –3.0, –5.1, –3.8, –2.8 mb) to a deepening 43-year low (304.8 mb by 31 Jul), the interim deal collapsed and the war widened, and Brent spiked to a ~\$94 peak (23 Jul, highest since 2022) with backwardation at –\$6.4 before a strikes pause eased it — the deferred tightness surfacing exactly as the paper flagged. The August coda sharpens rather than softens the point: with only ~22 mb of contracted barrels left, crude fell ~8% in three sessions on diplomatic headlines and the basis flipped to contango. Price discovery has passed from the barrels to the negotiating table, which is what “the signal and the supply are spent in the same act” looks like once both are spent.

THESIS VINDICATED — SNAP-BACK ARRIVED AS THE BUFFER NEARED EMPTY AND THE DEAL FAILED

- ≈ **Iran "run-the-clock" delay strategy.** Consistent with observable behavior (unresolved maritime point, "agreed on nothing" framing, leak-then-deny pattern) and with the matched 60-day duration. The 11 Jun collapse — and Trump's own "they are stalling" framing — is consistent with it, though the outcome (US escalation rather than concession) cuts against the premise that delay favored Tehran. Inference about intent, not provable from data.

WELL-REASONED HYPOTHESIS, NOT DATA-PROVEN

- ✓ **Escalation and re-closure (9-11 Jun).** US helicopter downed near the strait; two days of US strikes on Iran; Iranian retaliation at US facilities in Bahrain, Jordan, Kuwait; Iran re-declared the strait closed (US CENTCOM denied). Then on 11 Jun the President cancelled further strikes and announced a "great settlement" (conceptual MOU, signing expected in Europe within days, unconfirmed by Iran, Israel not a party). The futures curve flipped to backwardation (Dubai ~−\$5); outright Brent settled ~\$90 (−3%) on the deal news; energy-led US inflation above 4%; commercial crude down a seventh straight week.

VERIFIED – TIMES OF ISRAEL / AFP / CNBC / AP / BRITANNICA

- ✓ **Resolution and oil collapse (14-19 Jun).** Interim deal signed; front-month Brent −~14% on the week to ~\$79 (−38% from the April peak), the whole curve repriced to ~\$80 out to 2027; gasoline eased to ~\$4.63. Hormuz reopening underway but gradual — some vessels began transiting; ~600 ships stranded; Chevron and analysts caution full normalization "will not be quick." Cushing crude near ~20 mb. *Inference:* the market priced a clean resolution off a partial, interim deal — leaving snap-back risk if the physical reopening stalls.

VERIFIED PRICES/DEAL; REOPENING-EXECUTION UNVERIFIED – TRADINGECONOMICS / NBC / CNN

- ≈ **Partial Hormuz reopening; nuclear track stalled (through 2 Jul).** Kpler (via CNBC) counted ~11 tanker transits on 30 Jun — off a ~24/day peak the prior week, still far below the >100/day prewar norm — with mine-clearance ongoing (Iran never confirmed the mining; maritime threat level "substantial"), traffic routing through the northern (Iranian) and southern (Omani) lanes; physical free passage is not restored (the optical branch). The Switzerland nuclear round (US-Iran-Qatar-Pakistan) was postponed; indirect technical talks continue in Doha. Front-month Brent eased to ~\$71 with the curve flat.

VERIFIED REPORTING – KPLER / RFE-RL / CBS / CRISIS GROUP; FREE PASSAGE & NUCLEAR FILE UNRESOLVED

- ✓ **Deal collapse and Brent snap-back (7-16 Jul).** US revoked Iran's oil-sale authorisation (~7 Jul); tankers attacked in the strait; US strikes on Iran 8 Jul and a fourth consecutive night 12-14 Jul (dozens of coastal/missile targets); Iran fired on a commercial ship, re-declared Hormuz closed and struck back in Jordan, Qatar, Kuwait and Oman; the US reinstated its naval blockade of Iranian ports (effective 14 Jul). Front-month Brent rose from \$74.16 (7 Jul) to a ~\$83 close by 16 Jul, then to a **~\$94 peak (23 Jul, highest since 2022)**, pulled back to ~\$87 by 30 Jul as strikes paused; Hormuz transits collapsed to a standstill (<10 ships/day). Talks continue but stalled on strait traffic.

VERIFIED – AL JAZEERA / BLOOMBERG / CNBC / CNN / NPR

- ✓ **War widens: US troops killed; Houthi embargo on Saudi Arabia (17-23 Jul).** The US bombed Iran for nine consecutive nights; Iran killed US service members in a strike on a base in Jordan (≥ 17 US troops dead in the war as of 20 Jul), and Trump vowed retaliation. Iran's Houthi allies declared a maritime embargo/naval blockade on Saudi Arabia (20 Jul, “an eye for an eye”) — a new front putting ~2.5 mb/day of Saudi exports at risk. Mediators are pushing a 10-day ceasefire. Brent to a ~\$94 peak (highest since 2022); backwardation – \$6.4.

VERIFIED – CNBC / AL JAZEERA / FRANCE 24 / REUTERS / YAHOO

- ✓ **A fragile pause, not a ceasefire (25-30 Jul).** The US and Iran halted strikes for several days from ~25 Jul; Trump said the US paused at Iran's request and warned it would resume without a new deal, while Iran said there were no current negotiations. Hormuz stayed at a standstill (<10 ships/day vs ~100 pre-war). Brent round-tripped to a ~\$94 peak (23 Jul), ~\$82 (28 Jul) on the pause, ~\$87 (30 Jul, on the revised print); the Brent-basis backwardation eased from –\$6.4 to –\$2.15.

VERIFIED – NPR / CNN / ABC / AL JAZEERA / TRADINGECONOMICS

✓ **Strike called off; talks announced; Iran denies negotiating (1-4 Aug).**

Trump decided on Saturday 1 Aug not to execute a planned mass bombing campaign — he said a plan was in place for “the biggest attack since World War II” on Sunday — at the urging of Saudi, Qatari and Emirati leaders (including Crown Prince Mohammed bin Salman) and, he said, unnamed Iranian officials. On 3 Aug he announced talks — AP quotes him saying negotiations would begin “in the next day or two”; headlines reported them starting Monday — and called them Iran's “last chance for them to sign a good document,” while attacking the Iranian leadership on social media as “unbelievably duplicitous” for insisting its Oman meetings covered only a temporary navigation route. He set out an explicit sequence: “The first phase is the opening of the straits. The second phase will be the denuclearization. And that will take a little while.” Tehran contradicted him: FM Araghchi, spokesman Baghaei and Deputy FM Gharibabadi each said there are no direct US negotiations and that the only live track is bilateral with Oman on a temporary shipping route. Qatar, Pakistan and Saudi Arabia are mediating; Turkey has assisted.

VERIFIED — WASHINGTON POST / ABC-AP / NPR / RFE-RL / FRANCE 24 / THE NATIONAL / AXIOS

- ✓ **A 60-day Iran-Oman lane arrangement takes shape — then Iran publishes a restrictive draft (4-6 Aug).** Per Axios (Ravid), the emerging interim deal sets a 60-day Oman-Iran arrangement: all inbound traffic through a northern lane in *Iranian* waters, all outbound through a southern lane in *Omani* waters coordinated with Iran, no tolls or fees for 60 days, and mine-clearing of the median lane within 30 days, after which the median lane reverts to a permanent negotiated regime. Iranian leadership completed its approval on Tuesday 4 Aug; the US aimed to announce on Wednesday 5 Aug, and Treasury Secretary Bessent told CNBC a deal with freedom of movement could come “as soon as Wednesday.” Iran and Oman confirmed agreement on the route coordinates and a joint coordination centre, with a joint statement being finalised. NPR independently confirms the corridor structure from an Iranian Foreign Ministry statement carried by state media, and notes Oman has not commented. But on Thursday 6 Aug Iranian state media published an initial draft plan — under review by a parliamentary committee — barring ships linked to the US, Israel and other “hostile countries” until Tehran is compensated for war damage, imposing **fees of up to 7% of cargo value** on commercial vessels that transit, and fining violators **20% of cargo**. The Trump administration disputed Iran's characterisation: “Any temporary routes will be without any impediments — meaning no approvals or permissions and no tolls or charges. The Strait of Hormuz is an international waterway and no party controls the lanes or the ability to transit through them,” a US official told NPR; Trump then said the US currently controls the strait through its naval blockade. Turkey's foreign minister said a temporary US-Iran agreement could be announced soon. Two caveats from Tehran's own negotiators materially qualify the “deal is near” reading: Deputy FM Gharibabadi said the arrangement *does not* amount to a full reopening of the strait, which remains subject to preconditions and to a separate decision by Iran's top leadership, and that the route would run initially for two to four months rather than a clean 60 days; and spokesman Baghaei described a proposed joint coordination centre to manage traffic and collect information from vessels. Gharibabadi also confirmed the structural change that matters most: some of the new corridors run through *Iranian* waters, a departure from the decades-old practice of routing commercial traffic through Omani waters. Brent rose 3.8% to \$82.49 on the day.

≈ **The toll question is unresolved — and it is the whole ballgame.** Mid-July reporting had a ~20% Hormuz transit charge being floated and, on some accounts, enforced. The 4-6 Aug readouts of the Iran-Oman arrangement say the opposite: Axios reports no tolls or fees for the 60-day period, and a US official told NPR that any temporary routes carry “no approvals or permissions and no tolls or charges.” Iran's 6 Aug parliamentary draft contradicts both, providing for *fees of up to 7% of cargo value* on transiting vessels plus a *20%-of-cargo penalty* for violating Iran's conditions. So the two sides are publicly describing incompatible regimes on the same week, and Trump's own remark that the US “currently controls the strait through its naval blockade” is a claim of the same authority Iran is asserting. Until a joint statement text exists the paper treats “toll-free passage” as claimed but not established — and notes that the difference between a fee, a penalty and a permit is largely presentational once one party administers the lane.

DISPUTED / UNRESOLVED — AXIOS & NPR (US OFFICIAL: NO TOLLS) VS IRANIAN STATE MEDIA VIA NPR & CNBC (7% FEE, 20% PENALTY); NO SIGNED TEXT PUBLIC, OMAN HAS NOT COMMENTED

- ✓ **Houthi maritime campaign widens to the northern Red Sea (5 Aug).**
- The Houthis claimed a ballistic-missile strike on the Saudi tanker *Wafa* off Yanbu in the northern Red Sea — by their own count the eighth Saudi tanker targeted since the blockade began on 22 Jul — and said they would escalate in the northern Red Sea because Saudi Arabia is rerouting cargoes there to avoid the southern approach. UKMTO separately reported an explosion near a tanker 95 nm south-east of Aden the same day, crew safe. Hormuz itself remained far below normal. Lloyd's List Intelligence counted **84 transits in the week 27 Jul-2 Aug, up from 45** the prior week (non-Iranian-linked: 52, up from 28; westbound non-Iranian: 21, up from 11) — a recovery, but against a pre-war norm of roughly 100 vessels a day, and Lloyd's cautions the uptick “should not be interpreted as evidence of increased confidence among shipowners or operators.” Two further facts cut against the deal optimism: since 1 Aug **two ships transiting via the Omani route have been struck**, with at least one additional attempted attack — Iran taking aim at vessels bypassing its own traffic system even while negotiating the lane arrangement — and CENTCOM's blockade has now redirected 45 merchant ships, disabled two and boarded two. The strategic point is sharper than the tanker count suggests. With Hormuz shut, Yanbu on the Red Sea became Saudi Arabia's main crude exit and Bab el-Mandeb its crucial transit route: Kpler data cited by AFP show Saudi seaborne crude exports via Bab el-Mandeb rose roughly **eightfold** between March and mid-July 2026 against the same period of 2025 — to nearly **100 mb in June against 7 mb in February** — and in April and May *all* Saudi seaborne crude departed from Yanbu. The Houthis are therefore not opening a second front so much as attacking the kingdom's only remaining outlet, and they have said explicitly they will escalate in the northern Red Sea to “close all access points.” A second cohort of vessels is stranded: the MoU period cut trapped mainstream tankers from >160 to 29, but its collapse has left 65 ships that entered during the lull unable to exit, on top of >70 stuck since the war began.

VERIFIED (ATTACK) — CNN / BLOOMBERG / TRADEWINDS / DAILY SABAH; TRANSIT AND SECURITY DATA — LLOYD'S LIST INTELLIGENCE, STRAIT OF HORMUZ BRIEF, 5 AUG 2026

≈ **The “dual-key” reopening was forecast before it was reported.** Adm. James Stavridis (Vice Chair, Global Affairs, Carlyle; former NATO Supreme Allied Commander), writing 4 Aug, put three paths at ~10% (US drawdown and regional burden-shifting), ~30% (major escalation to Iranian economic targets at 300–500+ aimpoints per 24h, requiring ~30,000 ground troops) and ~60% (renewed negotiations under measured military pressure) — and specified that the 60% path most likely ends in “a dual-key structure where Iran controls northbound transit and Oman controls the southbound route.” The Axios-reported draft terms match that structure. He assesses Iran has lost ~65% of its combat power but retains missiles, drones, small craft and mines; notes ~60,000 US troops and two carrier strike groups remain in theatre; puts 30–40% on a darker outcome; and argues Iranian control of Hormuz is “a depreciating asset” as the energy system routes around it. His premise that domestic opinion constrains escalation is independently supported: AP-NORC polling published in late July found about two-thirds of US adults say the war, which began 28 Feb, has not been worthwhile — including roughly 37% of Republicans. *Inference:* the convergence of an outside forecast and the reported text raises confidence that the managed-lane regime — not free passage — is the modal outcome, which is the paper's optical branch.

FORECAST CORROBORATED BY REPORTING — STAVRIDIS (CARLYLE) 4 AUG VS AXIOS 4–5 AUG;
PROBABILITIES ARE THE AUTHOR'S JUDGEMENT, NOT DATA

- ✓ **Blockade actively enforced; 20% Hormuz toll floated (15 Jul).** CENTCOM struck and disabled the Curaçao-flagged tanker *Belma* (unladen, bound for Kharg Island) for attempting to violate the blockade, and redirected two commercial vessels in the first 24 hours; Trump floated a 20% charge on all Hormuz cargo. Kpler counted ~21 transits on 15 Jul. Brent settled ~\$85 (Sept) / WTI ~\$79.60 (Aug) on 15 Jul.

VERIFIED — CNBC / NPR / CNN / AXIOS / KPLER

- ✓ **SPR at a 43-year low.** –6.2 mb to 319.5 mb (3 Jul), –3.0 mb to 316.5 mb (10 Jul), –5.1 mb to 311.4 mb (17 Jul), –3.8 mb to 307.6 mb (24 Jul) and **–2.8 mb to 304.8 mb (31 Jul)** — a deepening 43-year low; ~111 mb drawn since the war began; commercial crude rose +2.5 mb to 407.0 mb in the 31 Jul week even as the SPR fell.

VERIFIED — EIA WEEKLY PETROLEUM STATUS REPORT (WK ENDING 31 JUL) / ENERGY NEWS BEAT; BBG DOESSPR

≈ **Physical reopening becoming a managed/permit regime; Gulf prompt premium widening.** Iran and Oman announced a permit-based navigation system asserting authority over the strait; Oman is creating a temporary toll-free IMO corridor; Trump warned talks end if Iran charges tolls/insurance; ISW: Iran managing traffic and collecting fees = strategic win and leverage. Geneva nuclear talks postponed 19 Jun; Rubio toured the Gulf for safe-transit guarantees. Meanwhile Dubai front-month-minus-spot deepened to ~-\$11 (23 Jun) on the BBG feed — physical tightness, not free flow.

VERIFIED REPORTING — NPR / EURONEWS / ISW / STATE DEPT; FREE PASSAGE UNRESOLVED; DUBAI SPREAD PER BBG

The pattern across the verification ledger is consistent: the data-driven claims survive, the attribution claims fray, the inference-about-intent claims sit as well-supported hypotheses awaiting their distinguishing tests. The paper distinguishes these tiers explicitly rather than collapsing them.

05 Outlook — Two clocks, one window

THE CONTESTED DEADLINE HAS PASSED — WHAT BINDS NOW IS THE REOPENING REGIME

The v1 framing — soft landing vs. hard reconciliation — is preserved but reorganized. The decisive variable is no longer "when do buffers exhaust" in the abstract; it is whose clock binds first in the contested deadline.

The U.S. supply-buffer clock

Remaining contracted SPR deliveries: **~22 mb** of the ~133 mb awarded after the -2.8 mb week to 31 Jul. At the recent ~3-4 mb/week pace that would exhaust in **~6 weeks** — but the buffer stopped being the binding clock some time ago; it is now a backstop, and a thin one. Behind it, the operational floor — revised to **~200 mb on the Tecity in-house estimate (analyst Zilin)**, above the ~150 mb level conventionally cited — sits only **~105 mb** below the current **304.8 mb** stock (a deepening 43-year low); commercial crude continues to draw, with total US crude stocks at 730.8 mb, the lowest since 1984, so there is materially less cushion behind the SPR than the standard floor implies. Independent forecast (DeLaura, Rabobank): Chinese demand resumes mid-July, removing the third suppressor. What v2.3 changes is the *trigger*: the dislocation no longer waits on buffer exhaustion. The 9-11 June swings — collapse and re-closure, then a sudden deal announcement — show the reconciliation can be forced (or deferred) by headlines well before the buffer empties, with stock still ~25 mb from contracted-empty. The buffer clock now sets the ceiling on how long any renewed suppression could even be attempted, not the timing of the break, which diplomacy is driving day to day.

The first week of August is the cleanest demonstration yet of that last point. With ~22 mb of contracted barrels left — too little to move a global market — crude fell ~8% in three sessions on a called-off strike and an announced negotiation, then rose 3.8% in one session on a parliamentary draft. Neither move had anything to do with DOE. The buffer no longer sets the price; it only sets how badly the United States would be exposed if the negotiation fails, and that exposure is now roughly six weeks of contracted deliveries and ~105 mb of cushion above the Tecity floor.

The Iranian revenue/blockade clock

Iran is bleeding export revenue every day Hormuz stays shut and the U.S. naval blockade holds. Iran has requested unfrozen access to \$12bn in frozen assets in the MOU — i.e. liquidity to span its clock. Aramco's ~100 mb/week global supply loss is matched by Iran's own stranded exports. Iran's clock binds whenever its FX/revenue position becomes politically unsustainable, which is unobservable from outside but is on its own decay path.

The three endgames

Soft (diplomatic, full) — partially realized, execution pending: the 60-day MOU signs and delivers genuine free passage (no tolls, mines cleared, insurers treating the strait as open), crude reconciles to the deferred curve's ~\$65-70 anchor, products stay structurally elevated. This was the late-May base case the ~20% crude drop priced; it receded into the 9-10 June strikes, then returned on 11 June when the President announced a "great settlement" and oil fell ~3%. But the *full* soft case requires the signed text to deliver genuine free passage — and the announced MOU is "conceptual," unconfirmed by Iran, with Israel not a party. So the tape is again pricing a deal, but whether it is the *soft* deal (real reopening) or merely the optical one is exactly the unresolved fork.

Middle (optical) — this is what landed: the MOU signs and headline-reopens Hormuz, but the reopening is partial — escorted, toll-laden, slow-to-clear-mines, or kept under Iranian "management" — so physical free flow lags the announcement. Futures rally on the signing; the suppression props (SPR, China) lift on schedule into a market whose *physical* deficit hasn't actually closed. The market briefly believes the deal is the resolution before discovering it is not. This is the configuration the curve is least equipped to recognize, and v2.2 raises its weight: the live sticking point is precisely maritime control, and an experienced commodities voice (ICMA's Parker) has publicly warned that even if Hormuz opens, the opening will likely be only partial, citing refinery damage, depleted inventories, and tanker-security frictions. The reported terms (no tolls, 30-day mine-clearing) describe the soft case; whether the signed text and the physical execution deliver it is the fork. This is what landed. The signed MOU (19 Jun) reopens Hormuz on paper and the market priced a clean resolution — Brent to ~\$79, the curve to ~\$80 — but the physical substance (escort terms, mine-clearing, insurer confidence, ~600 stranded ships, a 30-day timeline) is only beginning. The paper had flagged this as the under-priced case; the gap between a signed conceptual MOU and oil actually moving freely is exactly where the residual risk now sits. The August negotiation has made that gap explicit rather than closing it. The reported 60-day Iran-Oman arrangement is a *managed-lane* regime by construction — inbound through Iranian waters, outbound through Omani waters, a joint coordination centre, the mined median lane deferred 30 days — and Iran's own published draft would bar US and Israeli ships and fine violators 20% of cargo value. That is the optical branch written into the text of the deal itself, not merely a risk that the execution disappoints. An outside forecast (Stavridis, 4 Aug) independently put this "dual-key" structure at the modal outcome of the ~60% negotiation path. If it signs, the correct reading of a futures rally is not that the deficit closed but that the market has agreed to price a permitted, partial, politically revocable flow as though it were free passage.

Hard (physical) — flared 9-10 Jun, now dormant; the live tail-risk is a reopening that stalls: the 9-10 June collapse pushed hard toward this branch before the buffer ran dry — the curve detached at the prompt (backwardation across all grades, Dubai deepest ~-\$5) — then the deal collapsed the level instead. The branch is not gone but inverted in form: with the market now priced for clean resolution, the hard outcome would arrive as a *snap-back* if Hormuz fails to physically reopen — one analyst on the record warning of a move into the mid-to-high \$100s later this summer if normal transit does not materialize. Front-month Brent *eased* to ~\$91 (the intraday \$95 spike faded); refined-product and macro pressure show in energy-led inflation above 4%. The tightness is in structure ahead of level. The distinctive v2.3 point: this branch is being triggered by *diplomatic breakdown*

and renewed closure, not by SPR exhaustion — the buffer still has ~22 mb of contracted barrels. So the early dislocation lands into a market still partly cushioned, but one whose cushion is finite and whose positioning was set for resolution — the source of the violence if it continues.

The product clock — running independently underneath

Whichever crude branch resolves, U.S. refined products are on their own structural clock: EIA-forecast 2026 inventories at 2000-era lows, ~92% utilization, no spare capacity, seven major closures since 2019. A clean Hormuz deal cannot deliver consumer relief on the timeline a soft-landing crude resolution would imply. This decouples the political payoff of a deal from the diplomatic incentive to sign one — and arguably reduces the threshold at which the U.S. accepts unfavorable terms, since the deal does not buy as much retail relief as in past precedent.

06 Risk Assessment

WHAT WOULD CONFIRM OR FALSIFY THE SUPPRESSION AND CONTESTED-DEADLINE READS

RISK

The suppression thesis has now fully played out. The draw tapered toward a 43-year low, the interim deal collapsed, and the war widened — nine nights of US strikes, US troops killed, a Houthi embargo on Saudi Arabia — while **Brent spiked to a ~\$94 peak (23 Jul, highest since 2022) with the backwardation at -\$6.4** before a late-July strikes pause eased both (Brent ~\$87, backwardation -\$2.15). With ~22 mb of contracted barrels left the reserve is effectively spent, and the first week of August showed what that means in practice: the price is now set entirely by diplomacy, moving ~8% down on a called-off strike and announced talks and ~4% back up on a restrictive Iranian draft, with **the Brent basis flipping into +\$2.03 contango** — the prompt premium fully drained. The paper's central prediction is realized in both directions: once the barrels ran low, the price detached from DOE and attached to the negotiating table. The open question is no longer whether the suppression ends but whether the market is now under-pricing a strait that remains physically shut while the curve prices comfort.

Tells the soft branch is recovering. A *signed* MOU (not a "fully negotiated" claim amid strikes) with the maritime-control point resolved and mines clearing on schedule; a sustained ceasefire holding through more than a single news cycle; the outright price falling back toward the high-\$80s; gasoline resuming its decline once the escalation washes through.

Tells the hard branch is winning (several now present). Talks collapsed and the strait re-declared closed (present); the Gulf-grade curve already in backwardation, Dubai ~-\$5 (present — the leading structural tell); next would be that backwardation *deepening and broadening* with outright Brent turning up (so far the level has eased to ~\$91, so this leg is not yet present); SPR draws snapping back toward 9 mb/week as the floor nears (not yet — draw still ~8); Cushing toward minimums; product cracks blowing out; energy-led inflation climbing further from the >4% already printed.

Optical-deal risk (the under-priced middle case). A signed MOU that headline-reopens Hormuz without delivering physical free passage would trigger a futures rally while leaving the deficit broadly intact. Detection signal: a deal is announced but the post-roll Dubai/Oman spread does *not* normalize and tanker transits stay thin — the Asian physical market shows the truth first, because partial/escorted/tolled reopening appears in transit counts

before headlines. Watch the Hormuz transit tally and the Dubai/Oman spread as the two independent verifiers of any announcement. ICMA's Parker has already flagged a partial opening as the likely case.

Complacency risk (new, and now the primary one). The Brent basis has flipped from a $-\$6.4$ prompt premium to **$+\$2.03$ contango** in a fortnight while the strait is still shut, the Houthi campaign against Saudi shipping has widened to the northern Red Sea, and the SPR has ~ 22 mb of contracted barrels left. A curve that pays to store, in that physical configuration, is pricing the deal as done. The falsification test is specific and cheap to watch: if the lane arrangement signs and Hormuz transits do *not* climb out of single digits within two to three weeks, or if Iran's parliamentary draft (ship bans, 20%-of-cargo penalties) survives into the operative text, then the contango is mispriced and the prompt premium should return violently — into a market that has just removed its hedges. Conversely, a genuine climb in transits toward the pre-war ~ 100 /day would validate the contango and complete the soft branch.

Positioning risk. A forward curve still anchored to resolution — the long end pinned near $\sim \$65-70$ — leaves the market structurally under-hedged for failure. This is starting to show in the curve, not yet the level: the front has flipped to backwardation (prompt premium, Dubai $\sim -\$5$) while the long end holds its $\sim \$65-70$ anchor and outright Brent has only eased to $\sim \$91$ — the structural precursor to the violent front-end move, with the move itself still ahead if the prompt premium broadens.

Head-fake risk (now bilateral). The rally-fade-deny cycle repeated since March and reached its sharpest form on 11 Jun — but this time it terminated in an actual signing (19 Jun), so the head-fake risk has largely discharged. The residual is the mirror image: a *signed* but conceptual/interim MOU is now being treated as a done deal, when the physical reopening (mines, escorts, insurers, ~ 600 stranded ships) is what determines whether the priced resolution holds. Discount both "deal imminent" *and* definitive "strait closed/open" claims (Iran asserted closure; US CENTCOM denied) until confirmed by both sides and by tanker-transit data, not headlines.

Escalation risk. Combat continued through the talks (US strikes in southern Iran; Iranian ballistic missiles toward Kuwait), raising the probability that the U.S. abandons negotiation for force if the clock runs out — which removes Iran's leverage but does not necessarily reopen Hormuz quickly.

Partial-reopening risk. An intermittent, escorted, tolled, or "Iranian-managed" reopening smears the binary into a prolonged muddy tightening, stretching the timeline and blunting both the supply-buffer urgency and the diplomatic incentive to settle. This is the same configuration as the optical branch and is now the live sticking point.

Data-latency, revision and data-integrity risk. The SPR print is now through 31 Jul (-2.8 mb to 304.8 mb, a deepening 43-year low); outright Brent through 6 Aug ($\$82.49$), with a 7 Aug print of $\sim \$83.6$ not yet carried as a weekly point. The Brent basis peaked at $-\$6.4$ (23 Jul), eased to $-\$2.15$ (30 Jul) and flipped to **$+\$2.03$ contango (6 Aug)**; Dubai contango went $+\$9.35$ (23 Jul) $\rightarrow +\$3.03$ (30 Jul) $\rightarrow +\$4.64$ (6 Aug), plotted through 6 Aug (only the 26 Jun roll print excluded; Dubai had not printed for 7 Aug at pull time). Gasoline (BBG) through 5 Aug ($\sim \$4.74$). *Revision note:* the 30 Jul week settled below the preliminary values v2.9 carried (Brent $\$87.6 \rightarrow \86.9 , basis $-\$2.46 \rightarrow -\2.15 , Dubai $+\$5.32 \rightarrow +\3.03); Figures 3 and 4 are corrected here, and readers comparing versions should expect the most

recent pull to supersede. The August lane arrangement is *reported* and Iranian approval is sourced to two regional sources and a US official; no signed text is public, and Iran publicly denies negotiating with the US at all. Treat the reopening as negotiated-in-principle, not physically complete.

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A reserve sized by stock-flow thinking is now being defended by exploiting the gap between stock and flow — but the same barrel cannot be both spent into the spot market and held as a buffer. The signal and the supply are spent in the same act. Conservation of matter sets the clock.

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v2.10 working paper (the premium drains out; oil data from the Tecity Bloomberg pull, 7 Aug 2026). Analytical reconstruction for informational purposes only – not investment, legal, or financial advice. Figures are from public reporting and may contain estimation error; China SPR / Chinese imports figures are analyst estimates as official data is not published. SPR data is through 31 Jul (~2.8 mb to 304.8 mb, a deepening 43-year low, ~22 mb of contracted barrels remaining, ~105 mb above the ~200 mb Tecity in-house floor). Outright Brent is plotted through 6 Aug (\$82.49); the 7 Aug print (~\$83.6) is noted in the text but not carried as a weekly point, and Dubai had not printed for 7 Aug at pull time. The Brent basis peaked at -\$6.4 (23 Jul), eased to -\$2.15 (30 Jul) and flipped into +\$2.03 contango (6 Aug); Dubai contango ran +\$9.35 → +\$3.03 → +\$4.64 over the same weeks. Figure 3 is extended through 6 Aug with only the 26 Jun Mini-Dubai roll print excluded. Gasoline (BBG) is through 5 Aug (~\$4.74). The 30 Jul weekly values carried in v2.9 have been revised on this pull (Brent \$87.6→\$86.9, basis -\$2.46→-\$2.15, Dubai +\$5.32→+\$3.03); the later pull supersedes. Diplomatic and military developments for 1–7 Aug are from reporting (Washington Post, ABC/AP, NPR, RFE-RL, France 24, The National, Axios, CNN, Al Jazeera, Bloomberg, CNBC); the 60-day Iran–Oman lane arrangement is reported and sourced to regional officials but no signed text is public, and Iran publicly denies negotiating with the United States at all. The three-path probabilities cited (~10/30/60%) are Adm. Stavridis's published judgement, not a Tecity estimate, and are reproduced as an external forecast. Per instruction, this version keeps only the v2.10 delta in the change-log; the full history remains in the earlier files. The suppression-intent debate is now moot in practice: the reserve is effectively spent, and the first week of August showed price discovery passing entirely to the diplomacy. The branch and two-clocks framings remain strategic-inference readings, not proven accounts of intent; the paper's central prediction – that the signal and the supply are exhausted in the same act – is materially vindicated, but the claim of deliberate suppression intent remains an inference rather than proof.